



EXPENSES

We will go back to our income statement that we had created and get our expenses from there. Following are the questions we need to answer.

WHAT IS INCOME CUSHION YOU HAVE?

We will check from the personal income statement and estimate what percentage of our income do we spend. If we have to spend 80-90% of our income that means our income cushion is very thin and our risk-taking ability is very low. As our income increases or expenses are reduced and our income cushion widens, our risk-taking ability goes up.

HOW MANY PEOPLE DEPEND ON YOU?

Evaluate the number of people who depend on us for their expenses. This is important because when we take risks, we also take risks for them. So, the higher the number of dependents, the lesser is our risk-taking ability. If we are the sole earning member in the family, our risk-taking ability goes down.



TIME

Time is where we talk about the period we have for each of our goals and how flexible they are. The questions to be looked into are:

HOW MUCH TIME DO WE HAVE TO MEET EACH GOAL?

Some goals are to be met in 2-3 years, others in 5 years and the rest in 15 years. Longer the time horizon to meet goals, greater is our ability to take risks. As our timeline increases, our ability to deal with uncertainty increases. If a goal is to be met in 1 year, we have to approach it safely as we do not have time to deal with uncertainty. However, if a goal is to be met in 10 years, even if things do not go as per the plan for 2 years, we would still have time to recover.

HOW FLEXIBLE ARE YOUR GOALS IN TERMS OF TIME?

We have already seen, higher the flexibility of our goals, higher is our risk-taking ability. It assures us that we can shift the timeline by a few years if need be.